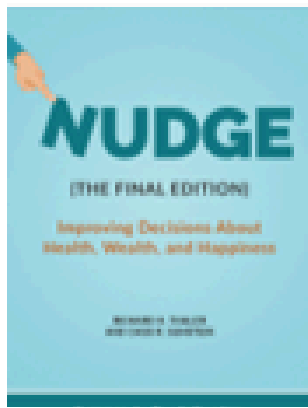




NUDGE (The Final Edition)

Improving Decisions About
Health, Wealth, and Happiness

RICHARD H. THALER AND CASS R. SUNSTEIN



The Big “So What”

Our behaviors can be influenced by seemingly small but insignificant nudges. This book explains key behavioral economics principles and how nudges can be used to address a range of outcomes at individual, national and global levels.



Introduction

First published in 2008, *Nudge* popularized the concept of using behavioral sciences in public policy and managerial practices. This Final Edition includes additional materials, updated examples, and recommendations for policy-makers to design systems that can generate an even more positive impact. In this summary, we've distilled and organized the key insights into 3 main parts:

- Behavioral economics, choice architecture and nudges
- Nudges to improve financial well-being
- Nudges to serve the wider good



Part 1: Behavioral Economics, Choice Architecture and Nudges



Key Behavioral Economics Concepts



Traditional economics assumes that humans are rational beings who make optimal decisions to maximize their utility. In reality, humans frequently make poor decisions due to cognitive flaws, emotional impulses, lack of information or self-control.

KEY QUOTES

“Apparently insignificant details can have major impacts on people’s behavior.”

“People are...nudge-able. Their choices, even in life’s most important decisions, are influenced in ways that would not be anticipated in a standard economic framework.”

Behavioral Economics blends economics and psychology to help us understand why people behave the way they do in the real world.



Renowned economist and psychologist Daniel Kahneman explained that we think using 2 cognitive systems:

- The Automatic System is fast, instinctive, effortless, and associative. It allows us to make countless decisions daily without conscious thought.
- The Reflective System is slow, deliberate, effortful, and deductive. This is the conscious, deliberate process that we associate with “thinking”.



Our brain uses a range of heuristics or mental shortcuts to make decisions quickly. However, they also lead to biases and blunders. Key heuristics include:

- Anchoring: We rely on an existing piece of information (an “anchor”) to gauge something else. When college students were asked “How happy are you?” followed by “How often are you dating?”, the correlation between the answers was low. However, the correlation increased when the question sequence was reversed, i.e. the students’ perceived happiness became tied to their dating frequency.
- Availability: We over-estimate things that we’ve experienced personally, or things that are recent and vivid.
 - (i) For example, you’ll likely overestimate the risks of nuclear power accidents and underestimate the risk of strokes.
 - (ii) You can encourage caution by reminding people of a similar incident where things went wrong. To increase confidence, remind them of a similar incident where things went well.
- Representativeness: To assess if A is similar to B (or if A is part of category B), we think in terms of our stereotype of category B.
- We tend to be overconfident and overly optimistic. 90% of drivers and 94% of professors think they’re above-average. Most entrepreneurs also overestimate their chances of business success.

KEY QUOTES

KEY QUOTES

"Unrealistic optimism is a pervasive feature of human life."

"People do not assign specific values to objects; it often matters whether they are selling or buying."

"Exploitation of behavioral biases can be a winning strategy."

"Once a practice (like wearing ties) has become established, it is likely to be perpetuated, even if there is no particular basis for it."

- Loss-aversion: You're likely to be 2x more upset at the prospect of losing something, compared to the joy of gaining the same thing.
 - (i) In a study, students were given a mug then asked to sell it. They quoted 2x the price compared to other students who were simply asked how much they would pay to buy a mug.
 - (ii) You're more likely to switch to a new payment plan if you're told "You'll lose \$500 a year if you don't switch" than "You'll save \$500 a year if you switch."
- We favor the status quo due to loss aversion and a lack of attention. Once you subscribe to a magazine or start watching a TV series, you're like to continue.



We also make bad decisions due to a lack of self-control, i.e. we give in to temptation and mindlessness. You may want to go for a run but end up watching TV.

- One of the best ways to resist temptation is to take preventive action when you're in a low state of arousal, e.g. lock up the TV control in an inaccessible drawer. That way, you use your Reflective System to counter your Automatic System.



Our decisions are strongly affected by social influences:

- We tend to conform to group norms because of peer pressure and explicit/implied information about what's good for us (or what we should do).
 - (i) Various studies found that 20-40% of participants will choose an obviously-wrong answer if everyone else in the room does so. They conform because they think that (a) if everyone agrees on something then it's probably right, and (b) others may disapprove if they give a different answer.
 - (ii) Conformity is the highest in small groups where responses are made public. It drops significantly if people can respond anonymously. We're more likely to conform if others appear confident or authoritative.
- We're also influenced by others' choices, e.g. we may eat the same types of food as our friends, or buy products with the highest reviews. One person's opinion can influence the

the next person's opinion and so on, until the whole group expresses the same view. This is known as an "informational cascade."

- Identity: We may adopt behaviors of people we identify with (e.g. similar religion, ethnicity, or nationality), and avoid behaviors of people we don't identify with.
 - (i) India successfully promoted public health by highlighting Mahatma Gandhi's commitment to cleanliness.
 - (ii) Participants in a study were grouped based on their identification with Democrats vs Republicans. Some were asked to independently indicate their views on issues, while others were told the opposing party's views before being asked for their views. The 2nd group invariably chose the opposite viewpoint from their adversaries'.
- We may follow a practice or tradition just because we wrongly believe that's what our community wants. This is called pluralistic ignorance. Once someone starts to speak up against the practice, others may feel empowered to speak up too.
- In short, humans naturally make mistakes and bad decisions. It's possible to use nudges to help people make better decisions while retaining their freedom of choice. A nudge refers to anything that shifts people's behavior in a predictable way, without the use of drastic disincentives (e.g. fines or bans). For example, you can nudge students to eat healthier foods just by changing the layout of the stalls in a cafeteria.



Libertarian Paternalism

7 The question is: which direction should you nudge people toward? The authors propose Libertarian Paternalism as the ideal approach.

- It combines libertarianism (giving the freedom of choice) and paternalism (influencing people to act in ways that make their lives better, as defined by them). In short, you're helping people to make the choices they would've made if they had perfect information, attention, self-control, and no biases.

KEY QUOTES

"If people wrongly think that most people are committed to a long-standing social norm, a small nudge correcting that misperception can inaugurate large-scale change."

- The golden rule is to offer nudges which are the most likely to help and the least likely to inflict harm.



Most critics of Libertarian Paternalism are Libertarians (who prefer to maximize choice and freedom) or Paternalists (who believe in setting limits for people's own good). In the book, the authors use various studies and examples to lay out 3 fundamental concepts:

- There's no such thing as a "neutral" design. Everything—from a website to an office layout—has a design that nudges people in some way.
- More choices may not mean better outcomes since we don't always choose wisely. At times, we also prefer not to choose, e.g. when we ask for recommendations at a restaurant.
- Paternalism ≠ coercion. Nudges are about influencing behaviors without harsh laws or prohibitions.



Nudges are the most useful in these situations:

- Choices that require memory. All of us space out or forget things. Shopping lists, to-do lists, calendar apps, and checklists are all useful nudges/tools to help us remember what's important.
- Choices with delayed effects. It's harder to exert self-control if the consequences occur much later, e.g. binge-eating or smoking.
- The more you do something, the easier and more automatic it becomes. Thus, you're more likely to need help with choices that are difficult or infrequent.
- To learn effectively, you need clear and immediate feedback. It's hard to make good choices if there's poor feedback, or if you can't imagine the outcome from a decision. For instance, you may not see how a high-fat meal may lead to a heart attack, or imagine what a foreign dish may taste like.



Nudges can be used by both government and private institutions, though they're the most impactful in public policies and regulations.

KEY QUOTES

"Whenever we engage in directional nudging, we should be confident that we are likely to make people better off, as judged by them."

"Difficult and rare choices are good candidates for nudges."



Tools for Choice Architects



Great design should appeal to our Automatic System. You'll intuitively push a door with a flat plate, but pull the door if there's a protruding handle (even if the sign says "push"). Or, you'll probably stop if you see a red sign that says "go".



Defaults are one of the best forms of nudges.

- Make the desired steps easy and effortless. People naturally choose the option that requires the least effort, then stick to the status quo. However, if they clearly dislike the default, they'll still take steps to change it.
- We're surrounded by defaults that make our lives better and safer, such as timed screensavers on our computers, or chain-saws that switch off automatically when they're not in use. You can use 2 types of defaults:
 - (i) *Prompted choice*: Default settings with an opt-out option
 - (ii) *Active choice*: Forcing people to make an explicit choice.
- Cater for expected errors. For example, automobiles come with reminders to buckle your seatbelt and warnings when you drift out of your lane. The nozzles for diesel fuel are designed to be too big for the fuel tanks of gasoline cars.



Give feedback to show if things are going right or wrong, e.g. an alert when the battery level is low, or a progress bar that shows the level of completion.



Use maps to show the relationship between people's current choices and long-term welfare, so they can make better decisions.



It's easy to choose between few simple options (e.g. ice-cream flavors), but hard to compare complex options (e.g. medical treatments or retirement plans). To simplify complex choices:

- Use self-nudges or snudges, e.g. limit the amount of junk food at home, or program your laptop to block emails at certain hours.
- Use filters (e.g. setting a maximum budget or distance) to eliminate unsuitable options.

KEY QUOTES

"Design is not just what it looks like and feels like. Design is how it works."
—Steve Jobs

"Choice architects can make major improvements to the lives of others by designing user-friendly environments."

"For most of us, life can be improved via well-chosen snudges."



Prices and incentives both affect decision-making.

- When designing incentives, consider 4 questions: (i) Who chooses? (ii) Who uses? (iii) Who pays? and (iv) Who profits? When the answers for the first 3 questions are the same, markets can work relatively well so long as people have enough information and can use them objectively. The situation gets complex when multiple stakeholders are involved. For example, the U.S. has one of the most expensive healthcare systems because patient services are often chosen by the physician, paid for by the company or government, and the revenue is shared among various suppliers and workers.
- In general, people consume less when prices go up. However, we may not notice price increases (especially if someone else is paying), opportunity costs or hidden/indirect costs. By making gains and losses visible, you can facilitate better choices.



Smart disclosures mean providing complex information in a standardized, machine-readable format so it's easier for users to compare options.

- Use standardized units of measurement for meaningful comparisons.
- If there are multiple metrics or a non-linear relationship between metrics and outcomes, mandate standard contracts where:
 - (i) The *default terms* in fine print are standardized (e.g. deposit amounts and termination terms for housing rent); and
 - (ii) Any *deviations* must be stated clearly in the main contract.
- Make the disclosures machine-readable so choice engines (like Expedia or Kayak) can be developed to help users compare options easily.
- Let customers own their usage data. Any organization that tracks users' purchase or consumption patterns should also make the data available to the users. For example, energy suppliers in the UK must now provide customers with usage data in a machine-readable format. By scanning their bills, customers can see a list of energy deals that suit their usage habits.

KEY QUOTES

"It is not only possible to design choice architecture to make people better off; in many cases, it is easy to do so."



Social influences can be powerful nudges.

- You can shift perceptions just by sharing truthful information about what others are thinking or doing. In Saudi Arabia, husbands can decide whether their wives are allowed to work outside the home. In a private poll, economist Leonardo Bursztyn found that many young men were in favor of female participation in the workforce, but kept silent as they thought others were against it. Once they knew about other men's true opinions, they became more likely to authorize their wives to work.
- For many years, same-sex marriage was denied in most countries. Yet, after Netherlands acknowledged it legally in 2001, many countries followed suit within the next 2 decades. This could be due to (i) the increasing number of gays and lesbians disclosing their sexual orientation, and (ii) the cascading effect as more individuals and countries expressed their support for same-sex marriage.



You can even influence behavior by offering well-curated options or making things fun, enjoyable, exciting or mysterious. Volkswagen got more people to take the steps by converting the stairs at the Stockholm subway station into a musical instrument. Taipei used a lottery to get dog owners to deposit dog waste at a special location.



Removing Sludge



The ultimate goal of choice architecture is to make it easy for users to make good decisions. Nudges help them to do so while sludge does the opposite, creating friction to make it harder for people to get a better outcome (as defined by them).



Sludge may come from red tape or be added intentionally to deter people from certain actions. Common types of sludge include:

- Making it hard for people to cancel their paid subscriptions. Sludge exists so long as the methods for unsubscribing are harder (e.g. having to make a long-distance call) than the methods for subscribing (e.g. entering your credit card details online).
- Making it hard for people to redeem a coupon or rebate.

KEY QUOTES

"Make it fun. And if you don't know what fun is, then you are not having enough of it."

"In many cases, sludge operates as a wall, and people cannot find a way to get over it."

KEY QUOTES

- Lack of transparency, including hidden costs/discounts. Printer manufacturers are known to sell their printers cheaply then making money from the expensive ink. Some companies also reserve discounted prices only for customers who complain or intend to leave, which is a form of discrimination via sludge.



Sludge represents real costs to users, organizations and governments. Complex processes and paperwork also block people from the assistance or support they require.

- The U.S. tax system is a classic example of sludge.
 - (i) As of 2019, Form 1040 alone has 108 pages of instructions. The average American spends 13 hours on the 1040, and many pay professionals to prepare their tax returns. This is sharply contrasted with countries like Sweden where 80% of taxpayers can file their tax returns in minutes on their mobile phones.
 - (ii) The Internal Revenue Service (IRS) can easily pre-fill the tax forms since they already have the income figures and tax benefits that people qualify for. Tax filers can then make adjustments to the pre-populated forms if necessary, saving the government and taxpayers billions of hours each year. Yet, the Congress explicitly forbade this fuss-free process due to lobbying by tax preparation companies (which were profiting from the sludge).
- Red tape can also be found in private institutions, e.g. approvals or reimbursements for work-related expenses. Companies that insist on choosing the lowest airfares fail to consider the costs of inconvenient flight hours and schedule inflexibility.



There are many ways to de-sludge. For instance, the University of Texas removed the need for unnecessary paperwork by automatically admitting all students in the top 6% of their high school class. Start by reducing the sludge that you create for yourself and others. If people aren't doing what they should, look for sludge that can be removed.

"The costs governments impose on their citizens via sludge are often neglected in the design and evaluation of policies."

"A sludge-reduction effort would pay big dividends."



Part 2: Nudges to Improve Financial Well-being



Saving for Retirement



It's hard to save for retirement since (i) we must evaluate complex options, (ii) we're more loss-averse than pro-gain, (iii) the rewards come much later, and (iv) we must overcome inertia. This is where choice architecture comes in.



Traditional social security plans rely on the working population to support the retired. This is no longer viable as people live longer, have fewer children, and the worker-to-retiree ratio decreases. Thus, governments have had to rethink their retirement schemes.

- In the U.S., the 401(k) was created in 1978. This is a defined-contribution plan where employees can contribute to a tax-sheltered account, and employers will match 50% of employees' contributions (up to a limit). Employees can then choose how the money is to be used toward their retirement.
- The UK created the National Employment Savings Trust (NEST) in 2008. All employers who don't offer a retirement plan must automatically enroll their employees into NEST (with an option to opt out). Both employers and employees make contributions and can choose from a range of investment options.
- Sweden has a mandatory social security tax, and part of this tax was set aside for a pension plan since 2000. Participants can choose up to 5 funds from a list of approved funds. A default fund (AP7) is assigned for those who don't make an active choice.



We can gain many insights from the Swedish example. The plan was "pro-choice", allowing any fund that met fiduciary standards to be added to the approved list. When the plan was first launched, the government advertised heavily to encourage people to choose their own portfolio. Funds were also allowed to advertise.

- The massive government and private-sector advertising worked. Two-thirds of the initial 4.4 mil participants became

KEY QUOTES

"We don't expect people to be their own physicians; why should we require them to make other complex decisions if there are trusted experts who can do it better, and on whom they can freely choose to rely?"

Active Choosers, i.e. they chose their own portfolio. The rest accepted the default fund. However, once the ads stopped, the proportion of new Active Choosers also fell rapidly, dropping to 9% in 2003, 3% in 2010, and less than 1% in recent years.

- Unfortunately, more choices did not lead to better outcomes.
 - (i) There were hundreds of approved funds (>900 at one point), making it *overwhelming* for investors to compare the options.
 - (ii) Most Active Choosers *didn't choose wisely*. Private sector ads were influencing people to buy portfolios with higher risks, higher fees and lower expected returns. 96% of Active Choosers ended up investing more heavily in stocks, putting almost half their money in Swedish companies, and paying more than 4x higher fees than the default fund.
- Default rules/options can be very sticky when people are in autopilot mode, and the system showed inertia at several levels.
 - (i) After choosing their initial portfolio, most participants *didn't update their portfolios*. Even when one of the funds was investigated for fraud and investors had the option to shift their money out at no cost, only a small proportion did so.
 - (ii) After a major change in 2010, the default fund became *much riskier*, yet few investors took up the option to switch funds for free.
 - (iii) Despite the sub-optimal outcomes, policymakers *didn't fundamentally rethink* the plan's structure. They merely reduced the number of approved funds to <500.
- The authors recommend the following improvements:
 - (i) Drastically *reduce the number of funds* to simplify choice.
 - (ii) Encourage investors to *start over* once in a while so they can reconsider bad choices made in the past. Concurrently choose a default option for people who won't do the "reset".

"In outer space, an object that has been nudged will keep going in that direction until it is nudged again."

"Just as you should regularly reboot your computer, we think it is healthy for investors to be encouraged occasionally...just to start over."

- (iii) Do not allow default funds to be leveraged (i.e. borrow to buy stocks). This increases the investment risks and should be explicitly opted-in, not set as a default.

 When it comes to nudges for retirement savings, governments should consider 3 aspects:

- To increase enrollment, consider using defaults to automatically enroll employees into retirement plans (with opt-out options), instead of asking them to opt in.
- A good plan should help people to achieve a higher saving rate. One solution is to get participants to increase their contributions automatically, e.g. increase by 1% per year or when their salaries increase.
- Improve investment returns while ensuring the default savings plan is relatively low-risk, such as a balanced fund with a mix of stocks and bonds.



Managing Debt

 With easily-available credit, it's tempting to spend more than we have. The U.S. alone has >\$1 trillion in credit card debt and >\$15 trillion in mortgage loans.

 It's ok to use credit cards so long as you pay the full bill each month. Otherwise, the outstanding payments can compound into huge debts.

- To protect consumers, governments can:
 - (i) Mandate *proper disclosures*, including the consequences of making only minimum payments. Get all credit card fees and rules listed in an online database for easy comparison.
 - (ii) Regulate the use of *overdraft arrangements* which allow people to borrow money automatically at high interest rates.

 Mortgages are also fine if you pay your regular instalments.

- Unfortunately, mortgages come with complex options such as fixed vs variable interest rates, extra fees and penalties. Consumers may get lured in by “teaser” rates that increase dramatically after 1-2 years.

KEY QUOTES

“Every country should be thinking hard about how to identify [a system] that suits the needs of its citizens.”

“Choosing is more important for mortgages, but using is more important for credit cards.”

KEY QUOTES

"A market for advice does not guarantee that the advice will be good."

- Customers may also be exploited by unscrupulous advisors who recommend mortgage options with higher commissions (instead of what's in the clients' interest).
- Governments can protect consumers with any of these 3 options:
 - (i) Mandate mortgage providers to make fees and costs transparent, e.g. summarize the costs on 1 page and combine them into a single interest rate for easy comparison.
 - (ii) Have a few types of standard mortgage contracts (e.g. fixed vs variable rates, for 15 or 30 years each), with standard fine prints for each type of contract. All harmful practices (e.g. easier rates) should be highlighted or banned.
 - (iii) Create an online database where borrowers can get mortgage recommendations based on their profile and parameters.



Insuring What Matters



The ultimate goal of insurance is to protect against financial ruin from rare but major disasters, such as critical illnesses or a fire destroying your home.

- People often make sub-optimal decisions, e.g. paying \$10 extended warranty for a \$100 toaster, or choosing lower deductibles with higher premiums. When a company allowed employees to customize their own healthcare programs, people ended up paying 28% more for the same coverage.
- As a rule of thumb for insurance, go for the largest available deductible since these will give the biggest savings in premiums.



Research shows that patients who must pay for some or all of their medications end up cutting back on all types of drugs—including the life-saving ones. By saving money on prescribed medications in the short-term, they end up incurring higher costs in long-term medical emergencies. So, encourage

employees (especially low-income earners) to take up high-deductible plans instead of trying to get them to share the medical costs.



Part 3: Nudges for the Wider Good



Organ Donations

 Eric Johnson and Dan Goldstein found that organ donation consent rates were significantly higher (97.6% on average) in countries where it was the default option, compared to countries where people had to opt in (15.2% on average). However, the authors believe that default opt-ins are not the ideal solution for organ donations.

- That's because there are 3 groups of stakeholders: (i) Patients who need (or will need) an organ to live, (ii) Potential Donors who're close to death and can choose to donate their organs, and (iii) Families of Potential Donors who've died.
- While the primary goal of organ donation is to save more Patient lives, it's also important to respect the rights and preferences of Potential Donors and their Families.



There are several possible approaches to organ donation:

- Routine removal means the state can remove the organs of someone who's dead without asking for permission. Yet, of the 50 countries studied, none did so (probably due to the sensitivity of the issue).
- Presumed consent means you assume that people agree to donate their organs unless they explicitly opt-out. However, this only makes sense if people are aware of the policy and there's minimal sludge to opting out. In most cases, Families are still consulted on whether to honor the deceased's wishes—this is cruel as the families are coping with their loss and may not know what the deceased wanted.
- Other options involve explicit opt-ins. *Explicit consent* means that you must take specific steps to opt in as a donor, while *mandated choice* means it's compulsory for everyone to choose. So far, there's no evidence that presumed consent

"Although defaults can be a powerful tool, changing the default is not the answer to every problem."

leads to more donations than opt-ins. The authors recommend using *prompted choice* with 3 steps:

- (i) Make it easy to register online (e.g. donatelife.net);
 - (ii) Get people to opt in willingly when you have their attention, e.g. when they're renewing their driver's license or filing their tax returns; and
 - (iii) Make sure their wishes are honored.
- Experiment with various ways to get people to opt in. You can also augment the system with *incentives*:
 - (i) In Singapore, anyone can opt out, but they'll get pushed to the bottom of the waitlist if they ever need a donor.
 - (ii) In Israel, donors must opt-in and the next-of-kin must still make the ultimate decision. To encourage both parties to say "yes", the regulations were changed in 2008 as follows:
 - You get priority if you're registered a Potential Donor ≥ 3 years before you become a Patient; and
 - You get even higher priority if your first-degree relatives had donated their organs when they died.



Climate Change



Climate change is a real and complex challenge. For simplicity, the authors focused primarily on the challenge of reducing emissions. Behavioral economics help us to understand why so little has been done to date.

- *Present bias*: While we're starting to feel the effects of climate change, any action today will only bring results decades later.
- *Salience*: Pollutants like greenhouse gases are invisible (unlike dirty water or smog) and hence largely ignored.
- Climate change comes from the cumulative actions of billions of people worldwide over time. There's no specific villain to target, making it harder to mobilize collective action.

KEY QUOTES

"A primary function of prompted choice is overcoming procrastination, inertia, and limited attention."

"If you can't even see them, you might not worry about them."

- We can't prove that climate change causes the increase in hurricanes, blizzards, etc. We can only show a correlation.
- Solutions to climate change involve behavioral change, which triggers loss-aversion and status quo bias.
- There's a lack of feedback between our daily actions and their impact. When you're driving your car or enjoying the aircon, you're unlikely to consider the impact of gas emissions on the environment.
- People/nations are reluctant to reduce emissions when their efforts can be negated by others who continue to increase emissions, i.e. there's a problem of free-riding.



Nudges alone cannot solve the climate change problem. The authors recommend an "all tools on deck" approach with a mix of regulations, incentives, penalties, and interventions.

- Generally, people are willing to contribute to a common resource if everyone else does. But, we'll stop if there's free-riding. The only way to gain cooperation is through coordinated action by governments around the world. The Paris Agreement (which came into effect in 2016) is a first step forward, as nations agree to determine their mutual contributions and reduce the required emissions in their own territories.
- It's crucial to provide incentives that're aligned with the common goal. So far, 2 approaches have been proposed:
 - (i) Imposing penalties/taxes on those who pollute (e.g. tax on greenhouse gas emissions). This motivates polluters to adjust their practices, and generates revenue for governments to support innovations like solar energy systems or electric cars.
 - (ii) A cap-and-trade system sets a limit for each party's level of emissions while allowing them to trade their "rights" to pollute. This allows the market to set the price for pollution. The key challenge is determining the caps to be allocated in the first place.
- Use feedback and information as drivers for change.
 - (i) The creation of the Toxics Release Inventory in the 1980s led to a huge drop in toxic releases throughout the USA. Individuals and firms were required to report the

potentially-hazardous chemicals they stored/released and the potential health impact. Once the data was made available online, companies were motivated to adjust their practices to avoid bad publicity. Governments worldwide can create similar *inventories* for greenhouse gases and other pollutants.

- (ii) The costs of pollution may be invisible, but our petrol and utility bills are not. Use transparency to help people know much energy they're using and how it compares with others' usage. Such *information* can be easily included in the monthly bills.
- Default to green. Governments can automatically enroll households with a green energy provider, but give them the option to switch out. They can even change the building codes to ensure all new homes/buildings are energy-efficient. The long-term cost savings will justify the higher construction costs.



Conclusion and Other Details in the Book

 In a nutshell, active choosing isn't viable in every situation, nor will it always bring the best outcomes. It's better to concurrently nudge and educate people using a mix of smart disclosures, personalized defaults, easy-to-compare options, and effective choice engines.

- Yet, nudges alone cannot solve all problems. At times, additional incentives, mandates and bans may be necessary to prevent direct harm to others (e.g. murder, rape, theft or assault) or to address complex issues like climate change.
- The key is to weigh the benefits for those who're helped versus the costs to those who're not. Then, evaluate if the nett benefits justify the new laws or mandates.

 A libertarian paternalistic approach is about guiding people toward better choices as defined by them. However, choice architects are not infallible. They make mistakes, have biases and information gaps, and may not always act in the best interest of their users/clients.

KEY QUOTES

"Sometimes, information can be a surprisingly strong motivator."

"If the goal is to make it really easy, make it automatic."

"Active choosing is often a good idea, but in many domains, curation and well-designed defaults are a blessing."

"All choice architects are fallible, and some are even malicious."

KEY QUOTES

- That's why it's better to nudge people in a certain direction, yet preserve their freedom to make the final choice. For example, you can warn consumers that a product contains food allergens without banning it. You can set a printer to do double-sided prints by default without preventing single-sided prints.
- An ideal nudge should work like a GPS—to recommend possible routes then let users decide whether to heed the advice. Defaults and opt-out options should be transparent and easy, not sneaky or sludgy. Apply John Rawls' publicity principle: to take only actions that you can/will defend publicly.

 This book is filled with detailed examples, case studies and statistics to illustrate the complexity, nuances and applications of behavioral economics in the real world. Each of the examples in this summary are discussed at length in the book, along with additional examples including aviation security, GDPR, education and financial assistance. For more details and information, do visit the authors' blog at nudges.wordpress.com or nudges.org.

About the Author



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"Nudges are generally designed to help people find the right means to their own ends."

"By properly deploying both incentives and nudges, we can improve our ability to improve people's lives, and help solve many of society's major problems. And we can do so while still insisting on everyone's freedom to choose."